To: Angelina Yeboah
From: Junior Attorney
Date: November 23, 2020
Re: Koogs Brewery – Potential Claims

ISSUES PRESENTED

1. Under Colorado law, one has tortiously interfered with the prospective business of another if the interference was intentional, improper, and there was more than a mere hope of contracting. A long-term contract between BrewBrew and Koogs appeared imminent before Sato left Koogs, however, after Sato's negative comments and Koogs' operational mistakes, a contract was not formed. Despite Koogs' mistakes, was there more than a mere hope of forming a contract with BrewBrew?

2. Under Colorado law, covenants not to compete are generally unenforceable with an exception for covenants entered into by executive and management personnel and their professional staff. After co-founding the company, Sato entered a non-compete agreement with Koogs and was employed as a brewmaster, supervising five employees. While at Koogs, could Sato have been considered executive or management personnel?

BRIEF ANSWERS

1. Probably not. A reasonable likelihood of forming a potential contract may be demonstrated by the presence of a firm offer, an indication of high mutual interest, or the establishment of an ongoing business relationship. After multiple shipping mistakes and the lack of a relationship by Koogs personnel with BrewBrew, none of these indicia had been established. Therefore, it is not likely that Koogs had more than a mere hope of forming a contract with BrewBrew.

2. Probably. Executive and management personnel must be supervisors that either show some autonomy in the decision-making process, or some skill that is integral to the business, and their professional staff must demonstrate that they have access to them. Having been integral to the company's success and supervisor to multiple employees, it is likely that Sato could be categorized as executive and management personnel or their support staff and a non-compete agreement could be enforced against her.

STATEMENT OF FACTS

Our client, Koogs Brewery, LLC, is a small brewery in Colorado founded by Ashley Abbott, Mateo Ruiz, and Haruka Sato in the summer of 2018. Ruiz Interview, at 1. Abbott and Ruiz are the co-owners and are in charge of all operations and marketing for the brewery, respectively. *Id.* at 2. Sato was not an owner of Koogs; however, Ruiz contends that she was "really the most important person" in the company because of her years of training and expertise as a brewer. *Id.* Ultimately, Sato signed an employment contract containing a non-compete provision. *Id.* At Koogs, Sato supervised five of the brewery's ten employees, led all negotiations with beer distributors, and was in charge of brewing beer. *Id.* at 3

After Koogs' Hopstein beer won an award, a large distributor, BrewBrew, contacted Sato and offered to sell Hopstein as a Limited Time Special and Koogs accepted the offer. Email to H. Sato from J. Cabreras on March 30, 2020. Shortly into the contract period, Juan Pablo Cabreras, Senior Vice President of BrewBrew, informed Sato that early sales of Hopstein were going very well and that it would be essential they have enough beer in production to meet demand. Email to H. Sato from J. Cabreras on July 13, 2020. Sato connected Cabreras with Abbott and assured Cabreras that Abbott would fulfill all BrewBrew orders. Email to J. Cabreras from H. Sato on July 13, 2020. After being introduced, Cabreras placed a large order with Abbott and scheduled a

meeting with Sato to discuss a potential long-term deal. Email to H. Sato from J. Cabreras on July 15, 2020. The next week, Cabreras informed Sato that Koogs did not deliver a large order of Hopstein. Email to H. Sato from J. Cabreras on July 22, 2020. After Sato apologized, Cabreras confirmed that BrewBrew still wanted to explore a long-term contract as long as the missed delivery was a "one-time thing." Email to H. Sato from J. Cabreras on July 22, 2020.

During their meeting on August 5, 2020, Cabreras informed Koogs that "about 60% of Limited Time Specials get a long-term contract," but that Koogs should feel confident because of Hopstein's sales. Email to A. Abbott from H. Sato on August 6, 2020. Cabreras scheduled another meeting for one month later and expressed that a favorable long-term offer would likely be made but wanted the delay so that BrewBrew would have enough information to make an informed decision. Email to H. Sato from J. Cabreras on August 6, 2020.

On August 12, 2020, Sato emailed Cabreras, with her replacement copied, that she was leaving Koogs, effective immediately, and would be working at Hinterland, a Nebraska brewery. Email to J. Cabreras from H. Sato on August 12, 2020. Sato subsequently emailed Cabreras privately, stating that she was leaving Koogs because she felt the Koogs was not professional. *Id.* She also expressed doubts about the two employees hired to replace her. *Id.* Shortly after she began at Hinterland, Sato publicly expressed her dissatisfaction with Koogs' professionalism in a popular magazine. Ruiz Interview at 4.

In late August, Cabreras notified Abbott that another large delivery of Hopstein had never been shipped and that he was never notified of any delays. Email to A. Abbott from J. Cabreras on August 27, 2020. He expressed his disappointment, saying Koogs' "Hopstein beer is amazing, but it's hard to work like this." *Id.* The next week, after being contacted by Sato's replacement, Cabreras informed Koogs that BrewBrew had decided not to pursue a long-term contract to

distribute Hopstein. Email to K. Williams from J. Cabreras on September 7, 2020. Shortly after, Koogs learned that BrewBrew entered into a long-term contract with Hinterland for a beer that Sato created; Ruiz believes the beer tastes similar to Hopstein. Email to H. Sato from M. Ruiz on October 11, 2020.

Koogs has asked us to determine if any legal action can be taken against Sato; this memo analyzes whether Koogs could successfully bring a tortious interference claim and whether Koogs could successfully enforce a non-compete agreement.

DISCUSSION

Koogs likely would be unsuccessful in bringing a tortious interference claim but would likely have success enforcing the non-compete agreement signed by Sato. The tortious interference claim would likely fail in this case because there was not a reasonable likelihood that a contract between Koogs and BrewBrew would be formed. Koogs would likely find success enforcing the non-compete agreement because Sato would probably be considered executive or management personnel.

1. Koogs' prospective contract was not reasonably likely.

A court would likely find that Sato did not tortiously interfere with the prospective business relationship between Koogs and BrewBrew.

Under Colorado law, "tortious interference with a prospective business relation requires a showing of intentional and improper interference preventing formation of a contract." *Amoco Oil Co. v. Ervin*, 908 P.2d 493, 500 (Colo. 1995) (citing *Dolton v. Capitol Fed. Sav. and Loan Ass'n*, 642 P.2d 21, 23 (Colo. App. 1981)). For the purposes of this memo, it is assumed that the 'intentional' and 'improper' elements have been met, and the only element at issue is whether an actor's interference prevented the formation of a prospective contract.

In order to "prove tortious interference with a prospective contractual relationship, it is not necessary that there be an underlying contract." *Waslaco, Inc. v. El Paso County*, 689 P.2d 730, 732 (Colo. App. 1984). Interference with the formation of a contract consists of an entity either causing a third party not to enter into a prospective relation, or an entity preventing a plaintiff from entering into a prospective contract. Restatement (Second) of Torts § 766B (Am. L. Inst. 1979). However, it must be established that "there is a reasonable likelihood or probability that a contract would have resulted; there must be something beyond a mere hope." *Klein v. Grynberg*, 44 F.3d 1497, 1506 (10th Cir. 1995).

In *Hertz* a marketing consultant, could not prove he had more than a mere hope of entering into future business deals with a third party. *Hertz v. Luzenac Grp.*, 576 F.3d 1103, 1120 (10th Cir. 2009). After being fired by defendant, the consultant went on to start his own company in the same industry and contracted with his former employer's competitor to help market a new product. *Id.* at 1107. *Id.* The consultant had also proposed to the former competitor the development of another product, but they wanted to evaluate the profitability of the first product and "would not be able to consider [plaintiff's] proposal until at least several months later." *Id.* at 1120. His former employer subsequently threatened litigation for the misappropriation of trade secrets. *Id.* at 1118. Plaintiff alleged these threats caused the competitor to "cancel all future projects" with him and argued that but for his former employer's actions, he would have entered into future business deals with the competitor. *Id.* The court found that while the consultant wanted to establish a long-term relationship, the competitor's response to his proposals was not "anything more than lukewarm." *Id.* at 1120. The court concluded there was not "a reasonable probability of entering into a future contract." *Id.*

In *Klein*, the court determined that plaintiff only had a mere hope of a prospective business relationship and could not establish tortious interference. *Klein*, 44 F.3d at 1506. Plaintiff entered into business with defendant, an international businessman, after inventing a computer software system, but "relations between the parties soon deteriorated." *Id.* at 1500. This was evident when potential investors, after initially requesting to see his business plan, "refused to meet with [plaintiff] because of a written request made by [defendant] that they refrain from doing so." *Id.* at 1501. Despite this interference, the court found that "the prospective benefits were too speculative" because the inventor did not have an ongoing relationship with the investors. *Id.* at 1506. The court concluded that there was "no evidence establishing a reasonable probability" that the inventor would contract with the investors, and therefore had not established a case for tortious interference. *Id.; see also Plaza Esteban v. La Casa Nino, Inc.*, 738 P.2d 410, 412 (Colo. App. 1987) (holding that there was no prospective advantage because a firm offer was not made).

As determined in *Hertz*, it is unlikely that a court would find that but for Sato's actions, Koogs would enter into a long-term contract with BrewBrew. Here, BrewBrew never made a firm offer for a long-term contract, citing that wanted to wait until they had more data on Hopstein's sales. Similarly, the company in *Hertz* would not consider entering into a future contract until first evaluating the profitability of their initial contract. Despite having been highly interested at one point, BrewBrew conveyed no interest in entering into a long-term contract after multiple major shipping mistakes. After these mistakes, Koogs was in a similar situation as the consultant in *Hertz*, where the company gave no indication it intended to contract with him in the future. Based on these similarities, it is not likely a court would determine Koogs had a reasonable probability of entering into a long-term contract.

A court would likely conclude that the prospects of a long-term contract between Koogs and BrewBrew are too speculative, as was found in *Klein*. In the present case, Sato was the only person at Koogs that had established a relationship with BrewBrew, but after she left, no other individual was in frequent contact with anyone at the distributor. After Sato left, Koogs was in a similar position as the inventor in *Klein*, as neither had an ongoing relationship with the prospective contracting party. While BrewBrew indicated that 60% of its Limited Time Special partners were offered long-term contracts, like in *Klein*, no firm offer ever came. It is therefore unlikely that a court would come to a different conclusion than in *Klein.*

It is unlikely that a court will find that there was a reasonable likelihood that Koogs and BrewBrew would have entered into a long-term contract. Based on the facts, Koogs should not bring a tortious interference action against Sato.

2. Sato was likely executive or management personnel.

A jury would likely conclude that Sato was either management personnel or professional staff to management personnel, and therefore, a non-compete clause would likely be enforceable.

Under Colorado law, covenants not to compete, while generally void, are enforceable against "executive and management personnel and officers and employees who constitute professional staff to executive and management personnel." Colo. Rev. Stat. § 8-2-113 (2019). Executives and management personnel are "persons who conduct or supervise a business." *Dish Network Corp. v. Altomari*, 224 P.3d 362, 366 (Colo. App. 2009). More narrowly, executive and management personnel "undoubtedly encompasses 'key personnel,' employees who are 'in charge,' those at 'the heart of the business,' and 'those few executives at the highest echelons of a company.'" *Id.* (Citing *Harrison v. Albright*, 577 P.2d 302 (Colo. App. 1977)). 'Professionals' have been interpreted as persons who are "in an occupation requiring a high level of training and

proficiency," and 'staff to executive or management personnel' as "key members of the executive's staff in the implementation of management or executive functions." *Phoenix Cap., Inc. v. Dowell*, 176 P.3d 835, 842 (Colo. App. 2007).

In *Harrison*, the court held that a non-compete covenant was enforceable against the defendant, a stockholder and operator, of an electrical contracting company who left to start a new electrical contracting company. *Harrison*, 577 P.2d at 303. While the operator was an owner of the business, all financing was provided by plaintiff. *Id.* The operator, however, was "the only person who possessed the knowledge, skills, and the licenses to make the business a possible success. This made him the key man and very heart of the business." *Id.* at 304. Because of this, the court determined he should be considered executive and management personnel, and therefore subject to a non-compete agreement. *Id.*

The court broadened its view in *Altomari*, concluding that a "mid-level manager at best" was considered management personnel. *Dish Network Corp.*, 224 P.3d at 366. When defendant was hired as Commercial Director, he entered into a covenant not to compete but left the company less than one year later to work for a competitor. While working as Commercial Director for the plaintiff, he "supervised fifty employees [out of 22,000], was otherwise at the top of the compensation scheme, was employed in a decision-making capacity, and had a certain level of autonomy." *Id.* at 368. The court held that, although "he was several levels under the CEO" these were characteristics of management personnel, and that a covenant not to compete was enforceable. *Id.* at 366, 68.

In *Dowell*, the court determined that a senior portfolio analyst was not professional staff to executive and management personnel. *Phoenix Cap., Inc.* 176 P.3d at 843. As an analyst for plaintiff, an investment bank, "eighty to ninety percent of [defendant's] work was in sales (rather

than a management) support role." *Id.* While the analyst was deemed to be considered a professional because of his education and experience, "he was unlikely to have had the type of access to, or involvement in, management or executive decisions" that would categorize him as staff to executive or management personnel. *Id.* Accordingly, the analyst left plaintiff to work for a competitor, and a non-compete agreement was unenforceable. *Id.*

The determination that the skilled operator in *Harrison* was executive or management personnel, is comparable to Sato, a skilled brewer, in the present case. Sato, as described by her colleague, was the most important person at the company. Likewise, the electrical worker in *Harrison* was described as the heart of the business. While Sato never was an owner of the brewery, she was a founder, and, like the operator, relied on others to finance the business. Furthermore, both Sato and the operator possessed the skills essential to the business's success. Therefore, as in *Harrison*, a court will likely determine that Sato was executive or management personnel while working at the brewery.

Sato's independent communication with major distributors demonstrates her level of autonomy within the company, similar to the manager in *Altomari.* As a founder, Sato was also much closer to the top in the company hierarchy, than the mid-level manager. While in *Altomari*, the manager supervised ten times the number of employees that Sato did in the present case, Sato supervised a larger percentage of her company's workers. For the same reasons the court determined the manager in *Altomari* was management personnel, a court will also likely conclude that Sato was also management personnel.

Should a court find that Sato was not management or executive personnel, Sato would likely be distinguished from the analyst in *Dowell* and be considered professional staff to executive and management personnel. Unlike the analyst in *Dowell*, Sato was a co-founder and

had significant access to management and their decisions. Moreover, unlike the analyst, Sato had significant input on management decisions, such as the types of products to be sold. These facts would likely lead to a conclusion that Sato could be professional staff to executive or management personnel.

Sato would likely be considered either executive and management personnel or their professional staff because of her responsibilities and importance at the brewery. Koogs should seek to enforce the non-compete agreement against Sato.

CONCLUSION

As a result of their operational mistakes, Koogs would likely fail in bringing a tortious interference claim. Had they not made these mistakes or been able to establish a stronger relationship with BrewBrew, they may have had a stronger case. They likely could prevail in enforcing the non-compete agreement against Sato because she, based on her responsibilities and duties with the company, would be considered executive or management personnel.